

**MINUTES OF JOINT MEETING OF
SHAREHOLDERS AND DIRECTORS OF
PINES REALTY COMPANY**

The annual meeting of shareholders and directors of Pines Realty Company was held July 5, 2014, at Couchwood.

The Minutes of the annual meeting held July 5, 2013, were approved.

Investment Account. Stephen Couch reported on the investment account that is managed by Arkansas Financial Group. Stephen was very complimentary of the investment results achieved by Arkansas Financial Group. He noted that the Exxon and Con-Ed stock produce about \$9,800.00 annually in dividends.

Warehouse: Tim Mines gave a report on the warehouse in Little Rock. At this time last year the warehouse was only 40% occupied and now it is 100% occupied. Physical improvements were made to entice an existing tenant to extend its lease. The tenant has expressed interest in buying the warehouse. Tim indicated that through the years our return on the warehouse has been about 8.5% with revenue over the last 9 years of approximately \$460,000.00. There was a discussion about whether to sell the warehouse to the interested tenant. There did not seem to be much interest in selling the warehouse unless the tenant was willing to pay a premium.

Financial Report: Elizabeth Dober gave the financial report and provided shareholders with a list of all expenses (see attached). Elizabeth stated there were 14 remaining years on the cell tower lease. The lessee has requested a 40 year extension with 10% increases every 10 years. It was decided that Elizabeth and Spencer Lee would continue their discussions with the cell tower lessee and report to the board.

Elizabeth reported on projects at Couchwood which are now complete, including the new gate at the entrance to Couchwood and the porch at Remmelwood. Elizabeth requested and received permission to spend approximately \$5,000.00 for a new fence near the entrance to Couchwood and up to \$10,000.00 for a new patio on the lake side of the Big House. Elizabeth will consult with Justin and Leland Couch on the specifics of the project. It is anticipated that the patio will be constructed of native stone.

Elizabeth informed the Board members and shareholders that repairs need to be made on the Magnolia train car. The tracks on either end of the train car have subsided and this has allowed the Magnolia to suffer some cracks from settling. Elizabeth will pursue possible repairs by either a train car repair company or house movers.

Couchwood.org. Wesley Couch reported on the website, Couchwood.org. For those who have not visited the website, the password is HarveyCouchwood.

Cynthia Sellentroppe expressed her opinion that all of the bathrooms at Couchwood need to be renovated. She volunteered to work on the project and begin by contacting a contractor, interior designer or fixture company about ideas. Cynthia will report back to the Board. Tim Mines suggested that we consider allocating money to renovate one bathroom per year until all had been renovated.

The forestry agent in Magnolia indicated to Leland Couch that his family would be interested in a hunting lease on the timber property.

Elizabeth Dober asked members of the family to consider helping more with projects, repairing things at Couchwood and making improvements at Couchwood. We plan to have another work day in the fall and family members who live too far from Arkansas to participate were encouraged to send a financial contribution. Several members of the family volunteered to do so. Elizabeth also asked family members to consider undertaking projects at Couchwood to be done during summertime stays at Couchwood. Elizabeth provided family members with a list of possible projects.

There being no further business, the meeting was adjourned.



Mark Moll, Secretary